

SECTION A – CASE QUESTIONS (Total 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Fortune Cleaning Services Limited (“Fortune”) was established in Hong Kong. It is a private company engaged in cleaning services.

Fortune’s customers are mainly retailers. It has achieved a year-to-year growth in sales of 25% during the last five years. Service contracts can be structured on a project basis, monthly basis or yearly basis, depending on the request from its customers. Starting from December 2019, its sales have doubled compared to the sales in November 2019 because Fortune has commenced a new service contract with a retail chain comprising a network of 60 outlets.

Staff costs are Fortune’s largest cost component. The relevant financial information of Fortune’s staff costs for the fiscal years 2018 and 2019 are shown below:

	<u>2019</u> HK\$'000	<u>2018</u> HK\$'000	% Increase/ (decrease)
Direct labour wages	18,035	12,882	40%
Management compensation	4,888	5,200	(6%)
Administrative staff salaries	5,341	4,951	8%
Discretionary bonus	2,453	2,328	5%
Retirement benefits	<u>371</u>	<u>344</u>	<u>8%</u>
Total staff costs	<u>31,088</u>	<u>25,705</u>	<u>21%</u>
Total costs	41,451	34,736	19%
Sales	49,746	39,646	25%
Profit before tax	6,790	4,184	62%

Fortune has three types of employees: direct labour (i.e. workers), administrative staff and the management. The workers work on the part-time basis. Every day, a project supervisor records the names and the working hours of each worker in a job order register. The project supervisor is also responsible for the daily physical head counts.

The project supervisor submits the job order register to the account clerk for calculating the wages. Wages for workers are paid on the 25th of each month by cash through cash withdrawal by the account clerk. To simplify the process, the account clerk records the monthly wages of these part-time workers on cash basis.

The management and administrative staff receive fixed monthly salaries, which are also paid on the 25th of each month via bank transfer. The account clerk records the fixed monthly salaries for management and administrative staff every month.

The management and administrative staff are entitled to discretionary bonus and retirement benefits. The account clerk will estimate the year end amounts of the discretionary bonus and retirement benefits before Fortune closes the books.

Discretionary bonus is determined by the management, depending on the profitability of Fortune in that year, and is paid in February every year. Although it is on discretionary basis, Fortune never stops paying this bonus to its employees since it was established.

Fortune has offered a retirement scheme for its management and administrative staff where Fortune is obliged to contribute a fixed percentage of the employee's monthly salary as the retirement benefits.

Below is the information of Fortune's direct labour wages for the year ended 31 December 2019 obtained from its relevant records:

	Number of workers	Working days per worker	Total wages HK\$'000	Monthly wages per worker (HK\$)
	A	B	C	C/A
January	50	34	1,540	30,800
February	59	34	625	10,593
March	62	26	1,235	19,919
April	81	24	1,240	15,309
May	86	24	1,255	14,593
June	88	24	1,200	13,636
July	88	22	3,375	38,352
August	77	24	1,335	17,338
September	85	23	1,390	16,353
October	88	24	1,485	16,875
November	78	26	1,520	19,487
December	62	41	1,835	29,597
			18,035	
Monthly average	75	27	1,503	20,238

You are the auditor of Fortune and have been engaged to perform the audit of its financial statements for the year ended 31 December 2019.

Question 1 (10 marks – approximately 18 minutes)

Possible cut-off errors in direct labour wages have been identified by your team.

Required:

- (a) Justify why cut-off errors are identified in direct labour wages, but not in management compensation, administrative staff salaries, discretionary bonus and retirement benefits. Explain why these cut-off errors may possibly cause material misstatements in Fortune's financial statements. (7 marks)
- (b) Propose procedures to quantify the cut-off errors identified in Question 1(a). (3 marks)

Question 2 (16 marks – approximately 29 minutes)

- (a) Based on the annual and monthly financial information provided in the case, apply analytical review skills to identify areas of irregularities or significant fluctuations. (8 marks)
- (b) Propose audit procedures to investigate the irregularities or significant fluctuations that you identified in Question 2(a). (8 marks)

Question 3 (16 marks – approximately 29 minutes)

Shortly before the commencement of the audit, the account clerk resigned and left Fortune. The management discovered that the actual bank balances were significantly lower than the book balances because the account clerk misappropriated the company's funds by creating fake workers and falsifying payroll payments to these non-existent workers.

Required:

- (a) Identify the internal control weaknesses of Fortune for its payroll payment process which caused the incident. (4 marks)
- (b) Propose measures and internal controls on the payroll process that Fortune can implement to safeguard its assets. (8 marks)
- (c) Advise changes to your audit strategies after discovering this incident of misappropriation of funds. (4 marks)

Question 4 (8 marks – approximately 14 minutes)

In addition to the financial statements, the directors prepare directors' reports every year, which will be issued on the same date of the financial statements. In the directors' report provided to you during the audit, it says, "During the fiscal year 2019, the Company achieved a year-to-year growth in sales of 15% and maintained a stable increment of its staff costs. The Company recruits full time workers who received fixed salaries."

Required:

Explain your responsibilities with respect to the information set out in the directors' report and consider your possible action(s) to the above.

(8 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (9 marks – approximately 16 minutes)

Company X is a private company incorporated in Hong Kong. Michael Lee is the Chief Financial Controller of Company X and a good friend of Charles Chan. Chan & Co is a certified public accountant firm registered in Hong Kong. Charles Chan, one of the partners of Chan & Co, provides audit services.

Recently, Michael reached out to Charles and requested Chan & Co for proposal of the following services:

- (1) Advising Company X on possible corporate restructuring and providing related audit service for potential Initial Public Offering.
- (2) Assisting Company X to prepare the annual tax return.
- (3) Representing Company X in a court case on a tax dispute with the Inland Revenue Department of Hong Kong.

Required:

Advise whether Chan & Co should participate in the service proposals. Explain any ethical and professional issues and the possible safeguards for Chan & Co when considering the proposal of the above services.

(9 marks)

Question 6 (11 marks – approximately 20 minutes)

Sweet Limited is principally engaged in the trading and distribution of chocolates and candies. You are the auditor of Sweet Limited.

- (a) During the course of an audit, you inquired the management of Sweet Limited whether they were aware of any significant events that happened after the year end. The management stated that they were not aware of any.

Required:

Propose audit procedures to corroborate the management's statement.

(5 marks)

- (b) After performing the audit procedures on corroborating the management's statement, you noted certain findings.

Required:

Propose follow up audit procedures in respect of these findings.

- (i) Certain popular chocolates were sold below cost after the year end but there was no inventory provision made against these chocolate inventories as the management considered that they were still popular items.

(4 marks)

- (ii) Sweet Limited acquired 51% of equity interest of Choco Limited, a major competitor of similar size of Sweet Limited, after the year end.

(2 marks)

Question 7 (17 marks – approximately 31 minutes)

Company A is a garment manufacturing and trading company. It has a factory in mainland China and a trading office in Hong Kong. Fast-end, a packaged software with customisation, is the IT system currently used by Company A. Company A keeps all general ledger, sales and receivable ledger, inventory and payable ledger in Fast-end. Company A recruited no internal IT personnel in the past. Company A engaged an external service provider to maintain Fast-end. All data were stored in the server of the external service provider.

In the current year, Company A has no longer engaged the external service provider but recruited one of the programmers from the external service provider to help maintain Fast-end and the data in-house and starts to build a small IT team with three people. The programmer from the external service provider has years of experience in developing and maintaining Fast-end for Company A and other companies using Fast-end. There were no significant IT control deficiencies reported by the predecessor auditor.

Wong & Co is the new auditor of Company A.

Required:

- (a) Consider the procedures that Wong & Co should perform before determining the audit approach on the IT system audit. (5 marks)
- (b) Assume that you are the audit manager of Wong & Co; during the initial meeting with Company A's IT team, you noted the following:
- IT control environment of Company A was less structured.
 - The IT controls in place were less formal and loosely documented.
 - There were minor programme changes made by the programmer to Fast-end during the year.
 - All IT staff had full access to Fast-end.
- (i) Evaluate the risk of material misstatements in terms of IT risk based on the fact and circumstance provided in the case. (6 marks)
- (ii) In response to the risk of material misstatements identified in Question 7(b)(i), propose relevant audit procedures in addressing the risks identified. (6 marks)

Question 8 (13 marks – approximately 23 minutes)

Sky Limited is a start-up technology company providing IT solutions on artificial intelligence, computer vision and 3D visualisation. Sky Limited was founded in 2017 and has been loss making. 15% equity interest in Sky Limited was recently acquired by Universe Limited in June 2018. In Universe Limited's financial statements, Sky Limited is accounted for as financial assets at fair value through other comprehensive income in accordance with HKFRS 9 *Financial Instruments*.

For the purpose of preparing the financial statements for the year ended 31 December 2018, Universe Limited has engaged an external valuer to assist on the valuation of Sky Limited as at 31 December 2018 using discounted cash flow calculation with key assumptions and estimates provided by the management of Sky Limited.

Extract of the discounted cash flow calculation:

	Actual 2017 <u>HK\$'000</u>	Actual 2018 <u>HK\$'000</u>	Forecast 2019 <u>HK\$'000</u>	Forecast 2020 <u>HK\$'000</u>	Forecast 2021 <u>HK\$'000</u>
Revenue	2,000	5,000	15,000	30,000	60,000
Net (loss) profit	(4,000)	(3,500)	4,000	15,000	30,000
Net cash (outflow) inflow from operating activities	(3,600)	(3,000)	4,400	15,600	30,800
Terminal growth rate	3%				
Discount rate	10%				

Business value of Sky Limited as at 31 December 2018: HK\$484 million

Required:

Assume you are the auditor of Universe Limited for the year ended 31 December 2018.

- (a) Based on the information provided, in order to understand the key assumptions and estimates used in the discounted cash flow calculation, recommend the questions that you would ask the management of Sky Limited. (6 marks)
- (b) Apart from understanding the key assumptions and estimates used in the discounted cash flow calculation, propose the audit procedures that you would perform to assess the fair value of 15% equity interest of Sky Limited held by Universe Limited. (7 marks)

* * * END OF EXAMINATION PAPER * * *